

UDAN-RCS PERFORMANCE

metro cities where rail and bus journey to key destinations takes longer than seven hours.

One of the biggest pull factors is the government's UDAN (*Ude Desh Ka Aam Nagrik*) Scheme, launched in 2016, which offers financial support and subsidies to hedge operational losses from flying non-profitable routes in the initial years of operations.

The true challenge for regional players will be spreading their wings beyond UDAN routes and becoming self-sustainable in air transport, where past failures outweigh successes. Besides Jet Airways, Kingfisher and Air Deccan, several regional players, Truejet, Costa, Paramount and Pegasus, among others, have had to shut operations because of financial losses.



AIRPORTS

93



ROUTES

651



OPERATORS

10



PASSENGERS

**1,570
MILLION**



VIABILITY
GAP FUNDING

**₹4,325
CRORE**

NOTE Data till October 15, 2025
SOURCE MoCA

GROWTH CENTRES

India's aviation sector is poised for significant growth with domestic air passenger traffic set to double by 2030, reaching 300 million annually. Indian airlines have an order book of 1,500 new aircraft.

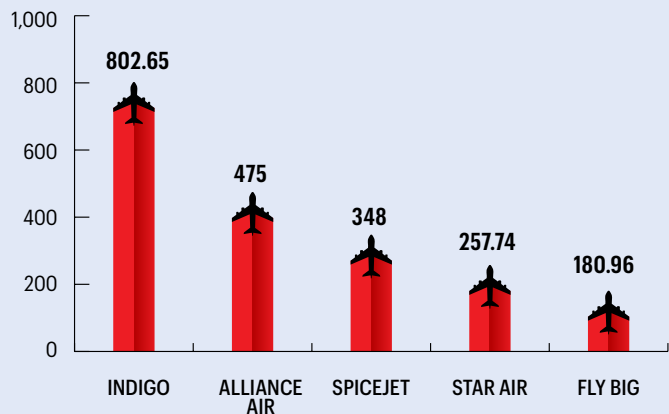
The massive aviation boom is expected to be fuelled by passengers from Tier II/III/IV cities, with people willing to fly from smaller cities to metros, state capitals and key business centres. The airports in some of these cities cannot accommodate bigger aircraft. This is where regional players, with 70-80 seat aircraft, are trying to make a mark.

Shrenik Ghodawat, managing director of the Ghodawat Group, says regional aviation is here to stay. He expects the emergence of two-three more regional airlines considering the size of the country.

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THE UDAN FUNDING

• IndiGo has been the biggest beneficiary of the Viability Gap Funding among private operators



SOURCE IN ₹ CRORE; FROM FY24; **SOURCE** MOCA